CMA Final
Group 3 - Paper 13

Commerce Educators

Corporate And Economic Laws

LAW
QUESTION
BANK



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IBC- Insolvency and Bankruptcy Code,2016

Q1. Discuss about the management of affairs of corporate debtors by interim resolution professional under the IBC. (June 2025 7 Marks)

Ans. Management of affairs of corporate debtor by interim resolution professional from the date of appointment of the interim resolution professional, the management of the affairs of the corporate debtor shall vest in the interim resolution professional.

- The powers of the Board of directors or the partners of the corporate debtor, as the case may be, shall stand suspended and be exercised by the interim resolution professional.
- The officers and managers of the corporate debtor shall report to the interim resolution professional and provide access to such documents and records of the corporate debtor as may be required by the interim resolution professional.
- The financial institutions maintaining accounts of the corporate debtor shall act on the instructions of the interim resolution professional in relation to such accounts and furnish all information relating to the corporate debtor available with them to the interim resolution professional [Section 17(1) of Insolvency and Bankruptcy Code, 2016].
- The interim resolution professional shall make every endeavour to protect and preserve the value of the property of the corporate debtor and manage the operations of the corporate debtor as a going concern.

For this purpose, he can take any of the actions specified in Section 20(2) of Insolvency and Bankruptcy Code, 2016.

This includes appointments of professionals, entering into contracts, raise interim finance, issue instructions to the employees and any action deemed necessary.

Q2. Under section 28 of the IBC, 2016, the Resolution Professional will have to take prior approval for some cases, otherwise it will be invalid. What are those cases and what percentage of voting is required in favour of the decision? (Dec 2024 7 Marks)

Ans. Prior approval under section 28 of the IBC, 2016

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In following cases, resolution professional can take action only with prior approval of committee of creditors, with 66% voting in favour, failing which the action by IP will be invalid and action may be taken against IP.

a) raise any interim finance.
b) create any security interest over the assets of the corporate debtor.
c) change the capital structure of the corporate debtor.
d) record any change in the ownership interest of the corporate debtor.
e) give instructions to financial institutions maintaining accounts of the corporate debtor for a debit transaction.
f) undertake any related party transaction
g) amend any constitutional documents of the corporate debtor.
h) delegate its authority to any other person.
i) dispose of or permit the disposal of shares of any shareholder of the corporate debtor or their nominees to third parties.
j) make any change in the management of the corporate debtor or its subsidiary.
k) transfer rights or financial debts or operational debts under material contracts otherwise than in the ordinary course of business.
l) make changes in the appointment or terms of contract of such personnel as specified by the committee of creditors; or
m) make changes in the appointment or terms of contract of statutory auditors or internal auditors of the corporate debtor.
n) Invite prospective resolution applicant who fulfil certain criteria as laid down by COC.

Q3. Who are the persons not entitled to initiate insolvency resolution process under the IBC, 2016? (June 2024 7 Marks; Dec 2018 4 Marks)

Ans. Section 11 of the Code states that certain persons are not entitled to make applications for initiating a Corporate Insolvency Resolution Process. These are:

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(a) a corporate debtor already undergoing a corporate insolvency resolution process or a pre-packaged insolvency resolution process; or

(aa) a financial creditor or an operational creditor of a corporate debtor undergoing a pre-packaged insolvency resolution process; or

(b) a corporate debtor having completed corporate insolvency resolution process twelve months preceding the date of making of the application; or

(ba) a corporate debtor in respect of whom a resolution plan has been approved under Chapter III-A, twelve months preceding the date of making of the application; or

(c) a corporate debtor or a financial creditor who has violated any of the terms of resolution plan which was approved twelve months before the date of making of an application under this Chapter; or

(d) a corporate debtor in respect of whom a liquidation order has been made.

Explanation I. - For the purposes of this section, a corporate debtor includes a corporate applicant in respect of such corporate debtor.

Explanation II.- For the purposes of this section, it is hereby clarified that nothing in this section shall prevent a corporate debtor referred to in clauses (a) to (d) from initiating corporate insolvency resolution process against another corporate debtor.

Q4. Explain the applicability of Insolvency and Bankruptcy Code, 2016.

(June 2023 4 Marks, June 2018 4 Marks)

Ans. Section 2 of the Insolvency and Bankruptcy Code, 2016 provides that the provisions of the Code shall apply to

a) any company incorporated under the Companies Act, 2013 or under any previous company law,
b) any other company governed by any Special Act for the time being in force,
c) any Limited Liability Partnership incorporated under the Limited Liability Partnership Act, 2008,
d) such other body incorporated under any law for the time being in force, as the Central Government may, by notification, specify in this behalf,
e) personal guarantors to corporate debtors,

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f) partnership firms and proprietorship firms; and
g) individuals, other than persons referred to in clause (e) in relation to their insolvency, liquidation, voluntary liquidation or bankruptcy, as the case may be.

Q5. State the manner of initiation of corporate insolvency resolution process by financial creditor under the Insolvency and Bankruptcy code 2016.

(June 2023 7 Marks; June 2018 5 Marks)

Ans. Section 7 of Insolvency and Bankruptcy Code deals with initiation of corporate insolvency resolution process by financial creditors. The Process can be explained as under:

1. Filing of application before the Adjudicating Authority for initiating corporate insolvency resolution process

A financial creditor either by itself or jointly with other financial creditors may file an application for initiating corporate insolvency resolution process against a corporate debtor before the Adjudicating Authority when a default has occurred.

For this purpose, a default includes a default in respect of a financial debt owed not only to the applicant financial creditor but to any other financial creditor of the corporate debtor.

2. Form and manner of making application

The application shall be in such form and manner and accompanied with such fee as may be prescribed.

3. Enclosures to application

Following documents and information shall be furnished along with the application:

- Record of the default recorded with the information utility or such other record or evidence of default as may be specified.
- The name of the resolution professional proposed to act as an interim resolution professional.
- Any other information as may be specified by the Board.

4. Duty of Adjudicating Authority to ascertain the existence of a default

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The Adjudicating Authority shall, within 14 days of the receipt of the application, ascertain the existence of a default from the records of an information utility or on the basis of other evidence furnished by the financial creditor.

5. Admission of application by the Adjudicating Authority

The Adjudicating Authority may, by order, admit such application, if it is satisfied that-

a. A default has occurred
b. The application for initiating corporate insolvency resolution process is complete; and
c. No disciplinary proceeding are pending against the proposed resolution professional.

6. Rejection of application by the Adjudicating Authority

The Adjudicating Authority may, by order, reject such application, if it is satisfied that-

a. Default has not occurred; or
b. The application for initiating corporate insolvency resolution process is incomplete; or
c. Any disciplinary proceeding is pending against the proposed resolution professional.

Before rejecting the application, the Adjudicating Authority shall give a notice to the applicant to rectify, within 7 days, the defect in his application.

7. Commencement of corporate insolvency resolution process

The corporate insolvency resolution process shall commence from the date of admission of the application by the Adjudicating Authority.

Q6. Mr.MS, an operational creditor, filed an application with the Adjudicating Authority (NCLT, Delhi) to initiate the Corporate Insolvency Resolution Process (CIRP) against TR Limited, and the application was accepted.

On 10th July,2022, NCLT, Delhi appointed Mr. VS to act as an Interim Resolution Professional of TR Limited. After the appointment, Mr. VS issued the public announcement on 12th July, 2022, of the initiation of CIRP process and called for the submission of claims.

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On 20th July, 2022, the Committee of Creditors was constituted by Mr. VS. Thereafter, Mr. MS wants to withdraw his application under Section 12A of the Insolvency and Bankruptcy Code, 2016. However, Mr. VS denied filing a withdrawal application stating that the Committee of Creditors has already been constituted.

Referring to the provisions of the Insolvency and Bankruptcy Code, 2016, answer the following with reference to the above facts.

(i) Is Mr. VS right to deny Mr. MS to file a withdrawal application with NCLT, Delhi? Explain in detail.

(ii) Would you answer differ in case the Committee of Creditors is not constituted?

(iii) Who is the authority to pass the final order of withdrawal application?

(Dec 2022 4 Marks)

Ans.

(i) According Section 12A of the Insolvency and Bankruptcy Code, 2016 read with Regulation 30A of the IBBI (Insolvency Resolution process for Corporate persons) Regulations, 2016, the Adjudicating Authority may allow the withdrawal of application admitted under Section 7 or Section 9 or Section 10, on an application made by the applicant with the approval of ninety per cent voting share of the Committee of Creditors, in such manner as may be specified.

- Thus, the application can be withdrawn if approval of ninety per cent, voting share of the Committee of Creditors is obtained. Hence, Mr. VS cannot deny Mr. MS for filing of withdrawal application only on the basis that committee of creditors has been constituted.

(ii) Before Constitution of Committee of Creditors- The applicant shall make an application for withdrawal to the Adjudicating Authority through the interim resolution professional. The interim resolution professional shall submit such withdrawal application to the Adjudicating Authority on behalf of the applicant, within three days of receipt of request. Further, the final approval of such withdrawal shall be by way of an order passes by the Adjudicating Authority.

Thus, if Committee of Creditors is not constituted Mr. MS shall apply to the Adjudicating Authority (NCLT, Delhi) through the Interim Resolution Professional, for withdrawal. Hence, the answer will not differ and Mr. VS cannot deny Mr. MS to file a withdrawal application with NCLT, Delhi.

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(iii) The final approval of such withdrawal shall be by way of an order passed by the Adjudicating Authority i.e. NCLT, Delhi.

Q7. Everlasting Ltd. went into liquidation. XYZ Bank Ltd. the secured creditor, decided to realise its security interest by informing liquidator of such security interest and identify assets subject to which such security interest has to be realised. Liquidator denied the XYZ bank Ltd.to enforce its security interest as said secured creditor is not a part of committee of creditors. Throw a light on the stated situation and examining on the validity of the stand taken by the liquidator. (Dec 2021 3 Marks)

Answer: As per Provisions laid down in Section 52 of the Insolvency and Bankruptcy Code, 2016, an option is given to secured creditor to realise its security interest by informing liquidator in respect of such security interest and identify assets subject to which such security interest has to be realised.

Therefore, it is not mandatory under Code proceedings for financial creditor to be a part of CoC (Committee of Creditors) to enforce its security interest. Hence, application filed by Financial creditor was to be accepted.

Therefore the stand taken by the liquidator on his denial to the XYZ Bank Ltd., to enforce its security interest on the account that secured creditor is not a part of the Committee of creditors, is not valid.

Q8. Who can initiate the insolvency resolution process?

(Dec 2021 3 Marks, June 2019 2 Marks)

Answer: As per Section 6 of Insolvency and Bankruptcy Code, 2016 , Where any corporate debtor commits a default, a financial creditor, an operational creditor or the corporate debtor itself may initiate corporate insolvency resolution process in respect of such corporate debtor in the manner as provided-

Q.9. Write short note on -Duties of Interim resolution Professionals.

(June 2019 3 Marks)

Ans. Duties of interim resolution professional - The interim resolution professional shall perform the following duties - Section 18(1) of Insolvency and Bankruptcy Code, 2016

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(a) collect all information relating to the assets, finances and operations of the corporate debtor for determining the financial position of the corporate debtor, including information relating to—

- business operations for the previous two years
- financial and operational payments for the previous two years
- list of assets and liabilities as on the initiation date; and
- such other matters as may be specified.

(b) receive and collate all the claims submitted by creditors to him, pursuant to the public announcement made under Sections 13 and 15.

(c) constitute a committee of creditors.

(d) monitor the assets of the corporate debtor and manage its operations until a resolution professional is appointed by the committee of creditors.

(e) file information collected with the information utility, if necessary; and

(f) take control and custody of any asset over which the corporate debtor has ownership rights as recorded in the balance sheet of the corporate debtor, or with information utility or the depository of securities or any other registry that records the ownership of assets.

(g) perform such other duties as may be specified by the Board.

Q10. Mr. Ganesh, an operational creditor filed an application for corporate insolvency resolution process. He does not propose for appointment of an interim resolution professional in the application. State the provisions given by the code in the given situation. State the term of such appointed IRP. (June 2019 3 Marks)

Ans. Appointment of IRP: As per Section 16 of the Code where the application for corporate insolvency resolution process is made by an operational creditor and no proposal for an interim resolution professional is made in the said application, the Adjudicating Authority shall make a reference to the Board for the recommendation of an insolvency professional who may act as an Interim resolution professional.

The Board shall recommend the name of an insolvency professional to the Adjudicating Authority against whom no disciplinary proceedings are pending, within ten days of the receipt of a reference from the Adjudicating Authority.

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Period of appointment of IRP: The term of Interim Resolution Professional shall continue till the date of appointment of the resolution professional under section 22 of the Code.

Q11. The Insolvency and Bankruptcy Code, 2016 is not applicable to corporates in finance sector. Explain. (Dec 2018 , 2 Marks)

Ans. Code not applicable to financial service providers – The Insolvency and Bankruptcy Code is not applicable to corporates in finance sector.

Section 3(7) of Insolvency and Bankruptcy Code, 2016 states that "Corporate person" shall not include any financial service provider. Thus, the Code does not cover Bank, Financial Institutions, Insurance Company, Asset Reconstruction Company, Mutual Funds, Collective Investment Schemes or Pension Funds.

EXTRA PRACTICE QUESTIONS

Q12. Rose Garden Ltd. was incurring continuous losses and its financial position went bad to worse. Black Stone (Private) Ltd., a trade creditor, issued notice under Section 271 of the Companies Act, 2013 for winding up of Rose Garden Ltd. on the ground that Rose Garden Ltd. was unable to pay its debts.

After some time, Black Stone (Private) Ltd. being an operational creditor filed a petition before the Adjudicating Authority to initiate insolvency process under the Insolvency and Bankruptcy Code, 2016. Demand Notice and copy of invoice were not served to Rose Garden. Ltd., since a notice was earlier issued for winding up. All other formalities were complied with.

The Adjudicating Authority initiated Insolvency Resolution Process by admitting the application and appointed Resolution Professional. After complying required formalities, the Adjudicating Authority issued orders for moratorium and other relief within the stipulated time. Being aggrieved by the order of Adjudicating Authority, Rose Garden Ltd. (Corporate debtor) filed an appeal before NCLAT under the Insolvency and Bankruptcy Code, 2016. Determine will the Company succeed in its appeal?

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Ans. As per Section 8 of the Insolvency and Bankruptcy Code, 2016, once a default has occurred, the operational creditor has to deliver a demand notice of unpaid operational debt or copy of invoice demanding payment of debt in default to the corporate debtor.

- Section 9 gives the operational creditor the right to file an application with the NCLT if the corporate debtor did not reply in the manner provided in 10 days.
- In the given case, demand notice or copy of invoice as required by Section 8 was not served to the Rose Garden Ltd., so the requirement for the initiation of the corporate insolvency resolution process by operational creditor under section 9 of the Code, was not in compliance.
- Serving of notice compliant to Section 8 is mandatory in nature and notice under section 271 of Companies Act, 2013 is not a sufficient compliance.
- So, the admission of application in line with the compliance of other required formality as to issue of order of moratorium and other relief, given by the NCLT was against the law.
- As Rose Garden Ltd. (Corporate debtor) was aggrieved by the Order of the Adjudicating Authority on the non-compliance of requirement of Section 8, Rose Garden Ltd. will succeed in its appeal filed before the National Company Law Appellate Tribunal.

Q13. Mr. Atul was appointed as the Insolvency Resolution Professional for XYZ Ltd. An application to replace the Insolvency resolution professional was filed before the Adjudicating Authority by some Financial Creditors. The financial Creditors propose to appoint Mr. K as the insolvency professional instead of Mr. Atul. Referring to the relevant provisions of the Insolvency and Bankruptcy Code 2016, decide whether Mr. Atul can be replaced and if so, state the procedure to be followed to appoint another IRP in place of existing one.

Ans. Replacement of Resolution Professional (Section 27 of the Insolvency and Bankruptcy Code, 2016)

- Where, at any time during the corporate insolvency resolution process, the committee of creditors (comprising all financial creditors of the corporate debtor) is of the opinion that a resolution professional appointed under Section 22 is required to be replaced, it may replace him with another resolution professional.

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- The committee of creditors [COC] may, at a meeting, by a vote of 66% of voting shares, resolve to replace the resolution professional appointed under Section 22 with another resolution professional, subject to a written consent from the proposed resolution professional in the specified form.

- The committee of creditors shall forward the name of the insolvency professional proposed by them to the Adjudicating Authority. The Adjudicating Authority shall forward the name of the proposed resolution professional to the Board for its confirmation and a resolution professional shall be appointed in the same manner as laid down in section 16.

- Where any disciplinary proceedings are pending against the proposed resolution professional, the resolution professional appointed under Section 22 shall continue till the appointment of another resolution professional under this Section.

- Hence, in the instant case, Mr. Atul can be replaced by the COC comprising of financial creditors of corporate debtors, by following the above procedure.

Q14. MF Capital Private Limited accepted inter-corporate deposits from JS financial Services Private Limited. MF Capital Private Limited is a Non-banking financial company which obtained a certificate from the Reserve Bank of India for carrying on the business of providing financial services. As there was a default in repayment of deposits, JS Financial Services Private Limited filed an application with the NCLT under Section 7 of the Insolvency and Bankruptcy Code, 2016. Examine the validity of the Application.

Ans. As per Section 2 of the Insolvency and Bankruptcy Code, 2016, the provisions of the Code shall apply for insolvency, liquidation, voluntary liquidation or bankruptcy of the following entities: -

a) any company incorporated under the Companies Act, 2013 or under any previous company law,
b) any other company governed by any Special Act for the time being in force,
c) any Limited Liability Partnership incorporated under the Limited Liability Partnership Act, 2008,
d) such other body incorporated under any law for the time being in force, as the Central Government may, by notification, specify in this behalf,
e) personal guarantors to corporate debtors,

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f) partnership firms and proprietorship firms; and
g) individuals, other than persons referred to in clause (e) in relation to their insolvency, liquidation, voluntary liquidation or bankruptcy, as the case may be.

- Section 3(7) of Insolvency & Bankruptcy Code, 2016 states that "Corporate Person" shall not include any financial service provider such as Banks, Financial Institutions, Insurance Company, Asset Reconstruction Company, Mutual Funds, Collective Investment Schemes or Pension Funds.

- Also, section 7 of the code clearly talks about filing of application for initiating the corporate insolvency resolution process against a "corporate debtor".

- MF Capital Private Limited is a NBFC which has obtained a certificate from RBI for carrying the business of providing financial services and NBFC which has obtained a certificate from the Reserve Bank of India will be considered as a financial service provider.

- In view of above, filing of an application with NCLT under Section 7 of the IBC, 2016 by JS Financial Services Private Limited against MF Capital Private Limited is invalid, as NBFC in the given case is not a "Corporate Debtor".

Note - However, the Central Government has notified in consultation with the Reserve Bank of India ,the insolvency resolution and liquidation proceedings of the Non Banking Finance Companies (which includes housing finance companies) with assets size of Rs 500 Cr or more, as per latest audited balance sheet, and it shall be undertaken with the provisions of the Insolvency and Bankruptcy Code, 2016

Q15. Rose Garden Limited filed its financial statements for the year ending 31st March, 2019 with Registrar of Companies, Chennai which disclosed that the liabilities amounted to 3.87 crores as against the assets of 1.37 crores.

On the basis of the scrutiny of the financial statements, the Registrar filed an application for Corporate Insolvency Resolution Process under Insolvency & Bankruptcy Code, 2016 against the company that the company is unable to pay its debts on the ground that the value of liabilities far exceeded the value of assets. Examine whether the company has any case to defend against the application filed by the Registrar.

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Ans. As per the Insolvency and Bankruptcy Code, 2016, the process of insolvency is triggered by occurrence of default.

- As per section 3(12), Default occurs when a whole or any part of the amount of debt has become due and payable and is not paid by the debtor or the corporate debtor, as the case may be.
- As per section 4, The provisions relating to the insolvency and liquidation of corporate debtors shall be applicable only when default of amount is one crore rupees or more.
- Filing of application before NCLT: Further, as per section 6, the corporate insolvency resolution process may be initiated against any defaulting corporate debtor by making an application for corporate insolvency resolution, by: -
    a) Financial creditor (Section 7)
    b) Operational creditor (Section 9)
    c) Corporate debtor (Section 10)
- Accordingly, in the given situation, there seems to be no occurrence of default against any creditor. It is just that Registrar on the scrutiny of the financial statement of Rose Garden Ltd. was disclosed of the facts of the liabilities of the company exceeding of the value of the assets.
- So, Registrar of Company is not eligible for filing of application of initiation of corporate insolvency resolution process in the given instance as he is neither a financial nor an operational creditor when the company is regular in filing documents.
- Therefore, Rose Garden Ltd. on the basis of said grounds can defend the application filed by the Registrar and get the application rejected.

Q16. You are appointed as Interim Resolution Professional in XYZ Company Ltd. under the Insolvency and Bankruptcy Code, 2016. State the time limit to make Public Announcement? Also state the protocol for issuance of public notice. Who shall bear the expenses of public announcement?

Ans. (1) Time Limit for making Public Announcement

Interim Resolution Professional shall make the Public Announcement immediately after his appointment.

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"Immediately" here means not more than three days from the date of appointment of the Interim Resolution Professional. Hence, the time limit to make Public Announcement is within 3 days from the date of appointment of the Interim Resolution Professional.

(2) Protocol for issuance of Public Notice

As per Section 15 of the Insolvency and Bankruptcy, public announcement shall include the following: -

(a) Name & Address of Corporate Debtor under the Corporate Insolvency Resolution Process.

(b) Name of the authority with which the corporate debtor is incorporated or registered.

(c) Details of interim resolution Professional who shall be vested with the management of the Corporate Debtor and be responsible for receiving claims.

(d) Penalties for false or misleading Claims.

(e) The last date for the submission of the claims, as may be specified.

(f) The date on which the Corporate Insolvency Resolution Process ends.

The public announcement shall be published in the following:

- One English Newspaper
- One Vernacular Newspaper
- Website of the company
- Website of the Board

(3) Expenses of Public Announcement

The expenses of public announcement shall be borne by the applicant , which may be reimbursed by the Committee of Creditors, to the extent it ratifies them.

Q17. The financial creditor Mr. Raman, was an investor and a debenture holder of Optionally Convertible Debenture Bond (OPDB) issued by M/s Asset Ltd. (the Corporate debtor). The zero interest OPDB debt amounting to 2 crore rupees matured in 2016. The liability to redeem on maturity date lay on the debtor, which was not paid. Mr. Raman

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initiated the corporate insolvency resolution process before the NCLT. Advise in the light of the given facts, the following situations:

(i) Do the redemption of debenture on maturity date amounts to debt?

(ii) State whether Mr. Raman is eligible to file an application for initiation of CIRP?

Ans. Financial Debt means "a debt along with interest, if any, which is disbursed against the consideration for the time value of money and includes any amount raised pursuant to any note purchase facility or the issue of bonds, debentures, loan, stock or any similar instrument."

- Mr. Raman was an investor and a debenture holder of Optionally Convertible Debenture Bond (OPDB) issued by the Asset Ltd. with the debenture payable on the maturity date .
- Since Mr. Raman is a person holding a debenture, it will come within the definition of financial debt. Being a debenture holder and shareholder of the company, he being a creditor is entitled to claim debt amount.
- Mr. Raman alone is not entitled to file an application to initiate CIRP against the M/s Asset Ltd. because the application can be filed by:
    - Not less than 100 debenture holders, or
    - Not less than 1/10th of the total debenture holders
      Whichever is less.

Q18. Superfine Limited is under the Insolvency proceedings under the IBC 2016 and Mr. Rakesh is the Interim Resolution Professional (IRP). He collated the details of all claims from the financial creditors, operational creditors and others. The number of financial creditors are 12 having a total claim of Rs. 6 crores out of which 2 financial creditors (Mr. A and Mr. D) are also operational creditors of the company. Mr. A whose total claim is Rs. 50 lakhs includes an operational credit for supply of material Rs. 10 lakhs. Similarly Mr. D whose total claim of Rs. 20 lakhs includes Rs. 15 lakhs for supply of materials to Superfine Limited.

How shall the committee of creditors be constituted by IRP?

Answer: The IRP shall after collation of all claims received against the corporate debtor and determination of the financial position of the corporate debtor, constitute a committee of creditors.

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- The committee of creditors shall comprise ALL financial creditors of the corporate debtor.
- Where any person is a financial creditor as well as an operational creditor

  (a) such person shall be a financial creditor to the extent of the financial debt owed by the corporate debtor, and shall be included in the committee of creditors with voting share proportionate to the extent of financial debts owed to such creditor.

  (b) such person shall be considered to be an operational creditor to the extent of the operational debt owed by the corporate debtor.
- Mr. A will be considered as FC to the extent of Rs. 40 lakhs and OC to the extent of Rs. 10 lakhs.
- Mr. D will be considered as FC to the extent Rs. 5 lakhs and OC to the extent of Rs. 15 lakhs.

Q19. State the Duties of a Resolution Professional.

Ans. It shall be the duty of the resolution professional to preserve and protect the assets of the corporate debtor, including the continued business operations of the corporate debtor.

For above, the resolution professional shall undertake the following actions, namely:—

a. take immediate custody and control of all the assets of the corporate debtor, including the business records of the corporate debtor.

b. represent and act on behalf of the corporate debtor with third parties, exercise rights for the benefit of the corporate debtor in judicial, quasi-judicial or arbitration proceedings.

c. raise interim finances subject to the approval of the committee of creditors under section 28

d. appoint accountants, legal or other professionals in the manner as specified by Board

e. maintain an updated list of claims

f. convene and attend all meetings of the committee of creditors

g. prepare the information memorandum in accordance with section 29.

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h. invite prospective resolution applicants, who fulfil such criteria as may be laid down by him with the approval of committee of creditors, having regard to the complexity and scale of operations of the business of the corporate debtor and such other conditions as may be specified by the Board, to submit a resolution plan or plans

i. present all resolution plans at the meetings of the committee of creditors

j. file application for avoidance of transactions in accordance with Chapter III, if any; and

k. such other actions as may be specified by the Board.

Q20. Who are Not Eligible To be a Resolution Applicant ?

Ans. A person shall not be eligible to submit a resolution plan, if such person, or any other person acting jointly or in concert with such person —

✓ is an undischarged insolvent

✓ is a wilful defaulter in accordance with the guidelines of the Reserve Bank of India issued under the Banking Regulation Act, 1949

✓ has an account, or an account of a corporate debtor under the management or control of such person or of whom such person is a promoter, classified as non-performing asset in accordance with the guidelines of the Reserve Bank of India issued under the Banking Regulation Act, 1949 and at least a period of one year has lapsed from the date of such classification till the date of commencement of the corporate insolvency resolution process of the corporate debtor

Provided that the person shall be eligible to submit a resolution plan if such person makes payment of all overdue amounts with interest thereon and charges relating to non-performing asset accounts before submission of resolution plan.

✓ has been convicted for any offence punishable with imprisonment for two years or more under Act specified in Twelfth Schedule.

✓ has been convicted for any offence punishable with imprisonment for seven years or more under any other law for the time being in force

✓ is disqualified to act as a director under the Companies Act, 2013

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✓ is prohibited by the Securities and Exchange Board of India from trading in securities or accessing the securities markets

✓ has been a promoter or in the management or control of a corporate debtor in which a preferential transaction, undervalued transaction, extortionate credit transaction or fraudulent transaction has taken place and in respect of which an order has been made by the Adjudicating Authority under this Code

Q21. The proceeds from the sale of the liquidation assets shall be distributed in which order?

Ans. The proceeds from the sale of the liquidation assets shall be distributed in the following order of priority and within such period and in such manner as may be specified, namely:-

(a) the insolvency resolution process costs and the liquidation costs paid in full

(b) the following debts which shall rank equally between and among the following :—

- workmen's dues for the period of twenty-four months preceding the liquidation commencement date; and
- debts owed to a secured creditor in the event such secured creditor has relinquished security in the manner set out in section 52

(c) wages and any unpaid dues owed to employees other than workmen for the period of twelve months preceding the liquidation commencement date

(d) financial debts owed to unsecured creditors

(e) the following dues shall rank equally between and among the following:—

- any amount due to the Central Government and the State Government including the amount to be received on account of the Consolidated Fund of India and the Consolidated Fund of a State, if any, in respect of the whole or any part of the period of two years preceding the liquidation commencement date;
- debts owed to a secured creditor for any amount unpaid following the enforcement of security interest

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(f) any remaining debts and dues; Other debts and dues Unsecured Financial creditors Dues of Central Government & State Government Wages and any unpaid dues owed to employees, other than workmen, for the period of 12 months Workmen's dues for the period of 24 months & dues of secured creditors Costs and Expenses of Insolvency

(g) preference shareholders, if any; and

(h) equity shareholders or partners, as the case may be.

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